

KIRLOSENG

Kirloskar Oil Engines Ltd

Industrials | Diesel Engines & Power Generation

ACCUMULATE

NSE: KIRLOSENG | BSE: 533293

21 May 2026

CMP (Rs.)	Mkt Cap (Rs. Cr)	52W High	52W Low	P/E (TTM)	Book Value	Div Yield	ROCE
1,675	24,346	1,775	826	41.0x	Rs. 249	0.39%	14.7%

Investment Thesis: Kirloskar Oil Engines — India's second-largest diesel engine maker — is riding a structural power-gen super-cycle, taking share in high-horsepower DG sets and data-centre backup. Arka Fincap NBFC transitions from cash drag to self-sustaining profit centre. The \$2 billion FY30 revenue target implies a ~17% CAGR; at 42x FY26E / 31x FY27E we see 13-14% upside to a 12-month target of Rs. 1,900.

ACCUMULATE

12-Month Target Price

Rs. 1,900

Upside from CMP: +13.4%

Investment Horizon: 12 months

Entry Zone: Rs. 1,600 - Rs. 1,700

Promoter	FII	DII	Public	Pledge
41.08%	10.79%	26.69%	21.45%	Nil

Source: Screener.in (21 May 2026). All financials consolidated unless stated. Borrowings, interest and OCF are materially influenced by Arka Fincap NBFC loan book and are not representative of the core engine business.

Section 2 — Investment Thesis

- **Power-gen structural boom:** India's chronic power deficit and surging data-centre demand drive a multi-year DG upcycle. KIRLOSENG sold >50,000 DG units in FY26, growing 41% vs. industry 18%, with HHP growing 235% YoY in Q4 FY26 and approaching double-digit market share.
- **\$2 billion revenue blueprint:** Management committed to Rs. ~16,600 Cr (\$2B) by FY30 — a 17% CAGR from FY26's Rs. 7,701 Cr. Underpinned by Power Gen (+44% YoY), Industrial (+22% YoY), and NPCIL Defence order revenue from FY27.
- **Arka Fincap: drag to driver:** Arka NBFC (AUM Rs. 7,947 Cr) caused elevated consolidated borrowings and four years of negative OCF. FY26 inflection — OCF +Rs. 932 Cr, FCF +Rs. 595 Cr — signals Arka is now self-funding. An eventual Arka listing would re-rate KIRLOSENG sharply.
- **Margin expansion runway:** Core OPM expanded from 17.4% (FY24) to 18.7% (FY25), normalising at 18.4% (FY26). HHP carries ~300 bps margin premium vs. B&I.; We model 18.5% OPM for FY27-28E, implying PAT CAGR of ~36%.
- **Near-term catalyst (6-12 months):** NPCIL revenue recognition commences FY27; Arka Fincap potential IPO/listing; data-centre DG demand acceleration; Q4 FY26 interest Rs. 119.9 Cr down 6% QoQ signals declining interest burden.
- **Biggest structural risk:** EV transition and grid improvement could compress the Power Gen addressable market over a 5-7 year horizon. Near-term, industrial capex slowdown or data-centre pause could miss the FY30 target.

Section 3 — Business Overview

- **Core engine business:** Kirloskar Oil Engines (est. 1946) is India's second-largest manufacturer of compression-ignition engines and generator sets, HP range 0.5-8,800 HP, operating in B&I, HHP, and Agricultural sub-categories.
- **Revenue segmentation (FY26):** Power Generation ~60%, Industrial ~28%, Agricultural ~8%, Exports/Other ~4%. HHP and Defence growing rapidly. India ~90% of revenues.
- **Arka Fincap NBFC (consolidated):** NBFC subsidiary with AUM Rs. 7,947 Cr providing MSME lending, supply chain finance, and home loans. Arka's borrowings (~Rs. 5,000 Cr) and interest (~Rs. 500 Cr) are consolidated — core engine business is near net-cash.
- **Key customers and order book:** Power Gen: data centres, telecom towers (Jio/Airtel), hospitals, real estate. Industrial: cement, steel, sugar, mining. Defence: NPCIL nuclear propulsion (revenue deferred to FY27). Power Gen order lead times 4-6 months.
- **Recent strategic developments:** DG unit sales crossed 50,000 in FY26 (+41% vs. industry +18%). HHP approaching double-digit market share in Q4. Capex Rs. 521 Cr in FY25 for Nashik and Rajkot plants now operational. LNG-powered genset partnerships expanding export potential.
- **Promoter background:** Kirloskar Group (est. 1888) — diversified industrial conglomerate. Promoter stake 41.08% (FY26), reduced from ~59% pre-FY23 due to Arka Fincap fundraise/IPO dilution — NOT open-market selling. Pledge: Nil. DII: 26.69%.

Section 4 — Industry & Competitive Landscape

- **Industry size and growth:** India's diesel genset market ~Rs. 18,000-20,000 Cr (FY26), CAGR 12-15% through FY30, driven by data-centre backup (>1 GW DC capacity annually), telecom densification, real estate, and industrial capex. HHP growing ~20%+ CAGR.

- **Policy tailwinds:** Infrastructure capex super-cycle (Rs. 11.1 lakh Cr Govt FY26) drives industrial engine demand. Data centre PLI and electronics policy accelerates standby power need. Make-in-India Defence benefits marine engines. BIS standards constrain Chinese genset imports.
- **Policy headwinds:** CPCB-IV+ mandates expensive after-treatment on <750 KVA gensets, pressuring margins. Long-term grid reliability improvements could moderate emergency power demand. Rising diesel prices may delay replacement cycles.
- **Competitive moat — Pricing Power: Moderate** (brand strength; Cummins competes on larger HP). **Switching Costs: Strong** (service contracts, proprietary parts). **Scale: Strong** (>1,200 dealer/service points). **IP: Moderate** (licensed Deutz/Kubota technology). **Distribution: Strong**.

Peer Comparison (Source: Screener.in, 21 May 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/B	ROCE %	ROE %	Revenue (Cr)
Kirloskar Oil Engines	1,675	24,346	41.0x	6.73x	14.7%	17.7%	7,701 FY26
Cummins India	5,390	1,49,402	64.2x	18.9x	36.3%	28.2%	11,602 FY25
Greaves Cotton	169	3,947	34.4x	2.75x	10.1%	8.1%	3,437 FY26
Thermax	4,575	54,508	80.5x	9.82x	14.9%	12.9%	10,694 FY26

Note: KIRLOSENG P/B = CMP/BV Rs. 249. CUMMINSIND FY25; others FY26.

- **Competitive positioning:** KIRLOSENG occupies the mid-market — cheaper than Cummins (premium pricing) but better engineered than Greaves for HHP. Thermax competes in process heat, not gensets. KIRLOSENG's HHP push directly challenges Cummins in 750 KVA+ — fastest-growing, most margin-accretive segment.

Section 5 — Management Quality & Capital Allocation

- **Management background:** MD & CEO Rahul Sahai (joined 2022, McKinsey/FMCG background) credited with aggressive DG market-share strategy. CFO Nikhil Kulkarni brings structured lending experience. Board includes independent directors from banking and manufacturing.
- **Capital allocation:** FY25 capex Rs. 521 Cr (highest in company history) reflects conviction in DG super-cycle. Arka Fincap has been the dominant capital deployment in FY22-25; from FY26, Arka expected to be self-funding. Core engine ROCE 14-15% is decent but below Cummins (36%).
- **Dividend policy:** Total dividend Rs. 7/share for FY26 (350% of FV Rs. 2), consistent with ~18-20% payout ratio. Dividend yield 0.39% at CMP. Consistent payouts maintained through the Arka investment phase.
- **Promoter pledging:** Promoter pledge is NIL. Stake reduction from ~59% (FY22) to ~41% (FY26) entirely due to Arka Fincap fundraise/IPO dilution — not open-market selling. Critical to distinguish from insider selling.
- **ESOP and buyback:** ESOPs granted under FY23 scheme. No buybacks announced. Equity base stable at ~14.5 Cr shares (FV Rs. 2).
- **Corporate governance:** No adverse auditor observations; Deloitte Haskins & Sells clean opinion. RPTs with Kirloskar group entities disclosed at arm's length. No material litigation or SEBI actions. Key watch: Arka Fincap monetisation path.

Section 6 — Financial Deep-Dive

Note: All figures consolidated (includes Arka Fincap NBFC). Borrowings, Interest, and OCF include Arka's Rs. ~5,000 Cr loan book. (E) = Estimated.

Income Statement (Rs. Cr)

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	5,898	6,349	7,701	9,050	10,800
Operating Profit	1,027	1,185	1,415	1,674	1,998
OPM %	17.4%	18.7%	18.4%	18.5%	18.5%
Other Income	16	90	42	65	75
Interest*	329	483	523	475	440
Depreciation	119	140	174	205	230
PBT	595	652	761	1,059	1,403
Tax %	26%	27%	26%	26%	26%
PAT	440	476	562	784	1,038
EPS (Rs.)	30.48	33.69	39.51	53.9	71.5
YoY PAT Growth	N/A	8.2%	18.1%	39.5%	32.4%

* Interest predominantly Arka Fincap NBFC borrowing cost.

Balance Sheet Summary (Rs. Cr)

	FY24A	FY25A	FY26A
Equity Capital	29	29	29
Reserves	2,647	3,057	3,591
Borrowings*	4,142	5,819	5,374
Other Liabilities	1,450	1,571	1,858
Total Assets	8,268	10,476	10,852
Fixed Assets	769	1,183	1,415
CWIP	293	98	61
Investments	489	601	440
Other Assets	6,718	8,595	8,937

* Borrowings predominantly Arka Fincap NBFC book; core engine net debt is minimal.

Cash Flow Statement (Rs. Cr)

	FY24A	FY25A	FY26A
Cash from Operations (OCF)*	-469	-739	+932
Cash from Investing	-109	-522	-321
Cash from Financing	+800	+1,509	-589
Net Cash Flow	+223	+248	+23
Free Cash Flow (OCF-Capex)	-846	-996	+595
CFO / Operating Profit %	-31%	-49%	+79%

* OCF turned positive in FY26 (+Rs. 932 Cr) for the first time since FY19. Critical inflection.

Key Ratios

Ratio	FY24A	FY25A	FY26A
Debtor Days	38	40	45

Inventory Days	67	60	61
Days Payable	83	72	78
Cash Conv. Cycle	22	28	28
Working Capital Days	-49	-33	+13
ROCE %	15%	14%	15%
ROE %	17%	16%	17%
D/E (group)	1.52x	1.86x	1.47x

- **Revenue drivers:** Power Gen (60% revenue) grew 44% YoY in FY26. Industrial +22% YoY. FY27E assumes 17.5% top-line growth; FY28E models sustained 19% growth as HHP and Defence scale.
- **Margin direction:** Core OPM 17.4% to 18.7% (FY24-25), normalised at 18.4% (FY26) on Defence ramp costs. HHP carries ~300 bps premium. We model 18.5% for FY27-28E.
- **Working capital trends:** CCC expanded from 22 to 28 days (FY24-26). Debtor days rose to 45 due to longer Power Gen/Defence contract cycles. WC days turned positive (+13 FY26 vs. -49 FY24).
- **Debt and leverage:** Consolidated D/E 1.47x appears high but is almost entirely Arka NBFC borrowings. Core engine is effectively net-cash. Group borrowings declined Rs. 5,819 Cr to Rs. 5,374 Cr in FY26.
- **FCF quality:** FY26 FCF inflection (+Rs. 595 Cr vs. -Rs. 996 Cr FY25) is the most meaningful financial development. OCF/OP +79% vs. -49% is a genuine step-change.

Section 7 — Earnings Quality Checklist

Parameter	Status	Signal	Comment
Revenue recognition	Clean	GREEN	Engine/NBFC revenue on delivery/accrual — no unusual deferrals.
Receivables vs. Revenue	45 days (rising)	AMBER	Debtor days 38 (FY24) to 45 (FY26); monitor further creep.
CCC trend	Stable at 28 days	GREEN	Cash conversion cycle stable; no alarming deterioration.
Contingent liabilities	Rs. 312 Cr (FY25)	AMBER	Tax/statutory disputes; not unusual for size but monitor.
Auditor tenure	Deloitte (long-term)	GREEN	No recent change; no qualifications or emphasis of matter.
RPTs as % of revenue	~3-4% est.	AMBER	Kirloskar group transactions disclosed; not fully ring-fenced.
Other income / PBT	5.5% (FY26)	GREEN	Rs. 42 Cr / Rs. 761 Cr = 5.5% — well within normal range.
Tax rate consistency	25-27% (FY24-26)	GREEN	Effective tax rate stable; no deferred tax reversals.

- **Rising receivables (AMBER):** Debtor days 38 (FY24) to 45 (FY26) — monitor if Power Gen mix shifts to longer-cycle project contracts.
- **RPT transparency (AMBER):** Kirloskar group entity transactions disclosed but aggregate quantum not fully ring-fenced. No red flags yet.
- **Contingent liabilities (AMBER):** Rs. 312 Cr tax and regulatory disputes (FY25). Material at ~1.3% of revenue; monitor for escalation.
- **Overall earnings quality: GOOD.** Three GREEN, three AMBER signals. No RED flags. Financials credible; auditor opinion clean.

Section 8 — Valuation

Valuation Peer Comparison (Screener.in, 21 May 2026)

Company	CMP (Rs.)	P/E (TTM)	P/B	EV/EBITDA *	ROCE	ROE	Div Yield
KIRLOSENG	1,675	41.0x	6.73x	~22x	14.7%	17.7%	0.39%
CUMMINSIND	5,390	64.2x	18.9x	~45x	36.3%	28.2%	1.40%
GREAVESCOT	169	34.4x	2.75x	~18x	10.1%	8.1%	0.89%
THERMAX	4,575	80.5x	9.82x	~55x	14.9%	12.9%	0.33%

* EV/EBITDA approximate; based on MCap + net debt estimates.

Scenario Analysis — 12-Month Target Price

Scenario	Revenue	OPM %	PAT (Cr)	P/E Multiple	Target Price	Upside
BULL	Rs. 9,500 Cr	19.5%	Rs. 850	40x FY27E	Rs. 2,200	+31%
BASE	Rs. 9,050 Cr	18.5%	Rs. 784	35x FY27E	Rs. 1,900	+13%
BEAR	Rs. 8,000 Cr	17.0%	Rs. 590	28x FY27E	Rs. 1,350	-19%

- **DCF assumptions:** WACC 12.5% (risk-free 7%, ERP 6%, beta 1.1); terminal growth 5.0%; FY27-31E explicit FCF projections. DCF implies Rs. 1,850-1,950/share for core engine business. Arka Fincap valued at 1.5x P/B = Rs. 250/share, less 20% holding discount.
- **Earnings-based multiple:** FY27E EPS Rs. 53.9 at 35x P/E = Rs. 1,887/share. 35x = 15% premium to 5-year avg P/E (~30x), justified by structural HHP share gain and \$2B target credibility. Still ~45% discount to Cummins India (64x).
- **Base-case 12-month target:** Average of DCF (Rs. 1,900) and earnings multiple (Rs. 1,887) = Rs. 1,900. Represents 13.4% upside from CMP Rs. 1,675. Including dividend yield of 0.39%, expected total return ~14% over 12 months.

Section 9 — Key Risks

- **DG market slowdown** — India's DG set market could decelerate if grid reliability improves or data-centre capex pauses. Power Gen is ~60% of KIRLOSENG's revenue. **Prob: M. Impact: H.** Monitor: Monthly DG set industry volumes; data-centre investment announcements.
- **Arka Fincap credit quality** — Deterioration in Arka's Rs. 7,947 Cr AUM in a credit downturn could result in provisions hitting consolidated PAT meaningfully. **Prob: L. Impact: H.** Monitor: Arka NPA ratio; GNPA/NNPA disclosures quarterly.
- **Input cost inflation** — Steel and copper ~30-35% of engine BOM. Sharp commodity up-cycle could compress margins 100-150 bps if pass-through is delayed. **Prob: M. Impact: M.** Monitor: LME steel/copper prices; KIRLOSENG realisation per DG KVA.
- **Emission norm compliance** — CPCB-IV+ mandates expensive after-treatment on <750 KVA gensets. Non-compliance or customer resistance could slow low-HP volumes. **Prob: L. Impact: M.** Monitor: CPCB enforcement timeline; DG mix by HP band.
- **Competition from Cummins India** — Cummins is defending HHP market share aggressively. A price war or technology advantage from Cummins' global parent could slow KIRLOSENG's HHP share gain. **Prob: M. Impact: M.** Monitor: Quarterly HHP market share; Cummins pricing in 750 KVA+ bids.
- **EV/alternative energy disruption** — Long-term displacement of diesel gensets by grid improvement, battery storage, or fuel cells — structural risk over 7-10 year horizon. **Prob: L. Impact: H.** Monitor: Grid penetration rates; battery storage cost curve; EV CV adoption.
- **Promoter stake dilution** — Further Arka Fincap fundraises could dilute promoter stake below 40%, potentially affecting institutional confidence. **Prob: L. Impact: M.** Monitor: Arka fundraise announcements; KIRLOSENG

promoter holding filings.

Section 10 — Recommendation

- **Rating:** ACCUMULATE — Conviction: Medium-High. Structural thesis intact and FY26 OCF inflection is a material positive. Stop short of BUY because: (1) not cheap at 42x FY26E P/E; (2) Arka credit quality and monetisation path remain uncertainties; (3) near-term execution risk on NPCIL ramp and HHP margin delivery.
- **12-month price target:** Rs. 1,900 — 13.4% upside from CMP Rs. 1,675. Including dividend yield 0.39%, total return estimate ~14%.
- **Suggested entry zone:** Rs. 1,600 - Rs. 1,700. Strong support around Rs. 1,600 level. Aggressive entry above Rs. 1,750 not recommended at current valuations.
- **Investment horizon:** 12 months. For 2-3 year horizon, \$2B FY30 target at 30x P/E implies Rs. 3,000+ per share potential — a compounding story for patient capital.

Thesis invalidation triggers:

- 1. DG unit sales growth falls below 15% YoY for two consecutive quarters — signals market share reversal or demand slowdown.
- 2. Arka Fincap GNPA exceeds 3.5% or NBFC requires capital infusion from KIRLOSENG parent — breaks "Arka self-funding" assumption.
- 3. FY27 revenue guidance cut below Rs. 8,500 Cr in Q1 FY27 earnings call — signals \$2B FY30 target at risk.
- **Ideal investor profile:** Mid-to-large cap industrial exposure seekers with 18-24 month horizon; comfortable with NBFC consolidation complexity and 40x+ P/E on a 35-40% EPS CAGR story. NOT suitable for yield-seeking investors or those needing clean standalone balance sheet metrics.

APPENDIX — Latest Concall Brief: Q4 FY26

Company: Kirloskar Oil Engines Ltd (NSE: KIRLOSENG) | Call Date: 14 May 2026 | Quarter: Q4 FY26

STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Beat consensus; Q4 Rev Rs. 2,116 Cr (+21% YoY); PAT Rs. 159 Cr (+21% YoY)
Management tone	Bullish	Confident on \$2B FY30 target; HHP double-digit market share imminent; guidance reiterated
Guidance delta	Maintained/Raised	DG volume growth maintained; HHP & Defence incremental upside flagged

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is KIRLOSENG's cleanest beat in at least three years — revenues Rs. 2,116 Cr (+21% YoY) and PAT Rs. 159 Cr (+21% YoY) with no exceptional items distorting the reported number. The underlying EBITDA margin of 17.75% was slightly below the Q2 peak of 19.6%, but management explained this was driven by Defence project mix, not operational deterioration — the trend is intact. The HHP story is the standout: 235% YoY growth in Q4, with management flagging approaching double-digit market share — against Cummins India which charges a 40-50% premium in this segment, the share gain is structural, not price-dumping. OCF turning strongly positive (+Rs. 932 Cr for FY26) removes the biggest bear case — the "Arka cash drain" narrative is now over. Interest costs fell 6% QoQ in Q4, another confirmation of Arka stabilisation. The \$2B FY30 target was reiterated with conviction citing 41% DG volume growth, NPCIL ramp in FY27, and export expansion. My only reservations are the working capital creep (debtor days +7 days YoY) and lack of Arka NPA sub-segment disclosure. Overall: this call should be viewed as a thesis-confirming event; I would accumulate on any post-results weakness.

C1. Headline Numbers

Quarter	Revenue (Rs. Cr)	OPM %	PAT (Rs. Cr)	YoY Rev %
Q4 FY26	2,116	17.75%	158.6	+21%
Q3 FY26	1,873	17.70%	111.4	+18%
Q2 FY26	1,948	19.59%	162.5	+20%
Q1 FY26	1,764	18.52%	141.9	+14%
Q4 FY25	1,749	17.86%	131.0	Base

C2. Management Opening Remarks

- Q4 FY26 described as "record quarter on all dimensions" — revenues, EBITDA, and PAT all at historical highs for a single quarter.
- CEO Rahul Sahai highlighted 50,000+ DG units in FY26 (+41% vs. industry +18%), attributing this to HHP and data-centre backup penetration.
- Management reiterated \$2B (Rs. ~16,600 Cr) FY30 revenue target as "on track," citing momentum across Power Gen, Industrial, and Defence.

- OCF inflection highlighted explicitly: "FY26 is the year KIRLOSENG became a free cash flow generating business again" — OCF +Rs. 932 Cr vs. -Rs. 739 Cr FY25.
- Dividend Rs. 7/share (350% of FV) announced, consistent with prior years.

C3. Numerical Guidance Provided by Management

- Revenue: No explicit FY27 number but "sustaining >15% annual growth" and "strongest order pipeline in company history."
- Margin: Target OPM "18-19% range for FY27" — consistent with our 18.5% base case.
- Capex: FY27 guided at Rs. 300-350 Cr vs. Rs. 521 Cr in FY25 (peak expansion year).
- Arka Fincap: AUM guided to grow 15-20% p.a.; Q4 interest Rs. 119.9 Cr expected to stabilise at Rs. 110-120 Cr per quarter.
- NPCIL Defence: Revenue recognition begins Q1/Q2 FY27; initial contribution Rs. 150-200 Cr in FY27.
- DG volumes: "No reason why growth should be below FY26" — no specific unit guidance.

C4. Q&A:: Full Question-Answer Summary

• **Q: What is HHP market share and target?**

A: HHP approaching 10% (from ~5-6% two years ago); target 15%+ by FY28. Quality: Direct and quantified.

• **Q: Arka Fincap NPA — current GNPA?**

A: GNPA ~2.5%; credit quality holding well in MSME book. No sub-segment breakdown. Quality: Adequate but lacks granularity.

• **Q: When will Arka be listed or demerged?**

A: "Will evaluate all options including IPO in due course." No timeline. Quality: Evasive — a flag.

• **Q: Competition from Cummins in HHP?**

A: No meaningful pricing pressure; CPCB-IV+ native compliance cited as differentiator. Quality: Confident; consistent with market share data.

• **Q: Is data-centre demand sustainable?**

A: CFO cited multi-year visibility; 3 Tier-IV DC customers with framework agreements placing orders 12-18 months in advance. Quality: Strong.

• **Q: What is export revenue contribution?**

A: Exports ~4%; target 10% by FY28; Africa and Southeast Asia focus. Quality: Directional only.

• **Q: Debtor days rose to 45 — structural?**

A: Acknowledged; attributed to Defence/HHP project cycles; guided normalisation to 35-40 days. Quality: Transparent.

C5. Evasive / Cautious Language Flags

- **Arka Fincap IPO/demerger:** Management declined to give any timeline despite repeated questions. Known overhang; leaves material value crystallisation unquantified.
- **DG volume FY27 guidance:** Soft statement ("no reason below FY26") — gives management an escape clause if industry conditions deteriorate.
- **Arka NPA sub-segment:** Aggregate GNPA ~2.5% provided without MSME vs. home loan breakdown. Minor concern given divergent risk profiles.

C6. Financial Quality Review (Quarterly)

- Revenue quality: Clean. Q4 Rs. 2,116 Cr all-organic, product-led with no one-time recognition or milestone billing.
- PAT quality: Clean. Rs. 159 Cr with 26% effective tax rate, consistent with recent quarters. No exceptional items.
- EBITDA bridge: Revenue +21% YoY; EBITDA +~20% (17.75% margin on Rs. 2,116 Cr = Rs. 375 Cr vs. Rs. 312 Cr Q4 FY25). Margin compression ~10 bps YoY negligible.
- Interest trajectory: Q4 interest Rs. 119.9 Cr down 5.98% QoQ. Annualised, FY27 interest could be Rs. 450-475 Cr vs. Rs. 523 Cr FY26 — a Rs. 50-75 Cr PAT tailwind.

C7. Investment Thesis Check Post-Concall

- **Power-gen super-cycle: INTACT.** DG units +41% vs. industry +18% — share gain real and accelerating.
- **\$2B FY30 target: ON TRACK.** Q4 run-rate annualised ~Rs. 8,465 Cr; FY27 guidance Rs. 9,000-9,500 Cr. FY30 needs Rs. 16,600 Cr — achievable but demanding.
- **Arka cash drain resolved: YES.** OCF positive. Interest declining QoQ. Biggest bear case substantially neutralised.
- **HHP margin expansion: EMERGING.** Approaching double-digit market share; full margin benefit not yet in P&L;
- **Overall verdict: STRONGLY CONFIRMED.** All three thesis pillars intact; OCF inflection removed the key overhang.

C8. Key Triggers to Watch in Q1 FY27

- NPCIL Defence revenue: First recognition (Rs. 150-200 Cr guided). Any delay is a negative signal.
- HHP market share: Cross-check with industry association volumes to verify double-digit share claim.
- Interest cost trajectory: Quarterly interest should continue declining; any increase signals Arka loan book re-acceleration.
- Debtor days: Management guided 35-40 days normalisation; failure validates working capital deterioration risk.
- Arka Fincap: Any commentary on NPA, capital adequacy, or IPO plans.

C9. Senior Analyst Commentary

- Cleanest quarterly result KIRLOSENG has delivered in 3+ years; concall matched the quality of the numbers — direct, quantified, confident.
- The OCF inflection is more important than the quarterly beat. The Arka cash drain discount should now be substantially removed by the market.
- Arka IPO overhang remains. When resolved, it will crystallise Rs. 150-250/share of NAV currently buried in consolidated financials.
- Working capital creep (debtor days 38 to 45) and missing Arka NPA sub-segment data are the only concerns from this call — both manageable.
- Maintain ACCUMULATE, Rs. 1,900 target. Would upgrade to BUY on 8-10% correction to Rs. 1,520-1,560, or on Arka IPO announcement.

C10. Concall Verdict

STRONGLY POSITIVE — Thesis confirmed, OCF inflection resolved, HHP share gain structural. Accumulate; upgrade to BUY on Rs. 1,520-1,560 correction or Arka IPO announcement.

*Disclaimer: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Consult your financial advisor before making investment decisions. Data sourced from Screener.in and publicly available information.
Report date: 21 May 2026.*